



Economic Insights

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Economics - Global

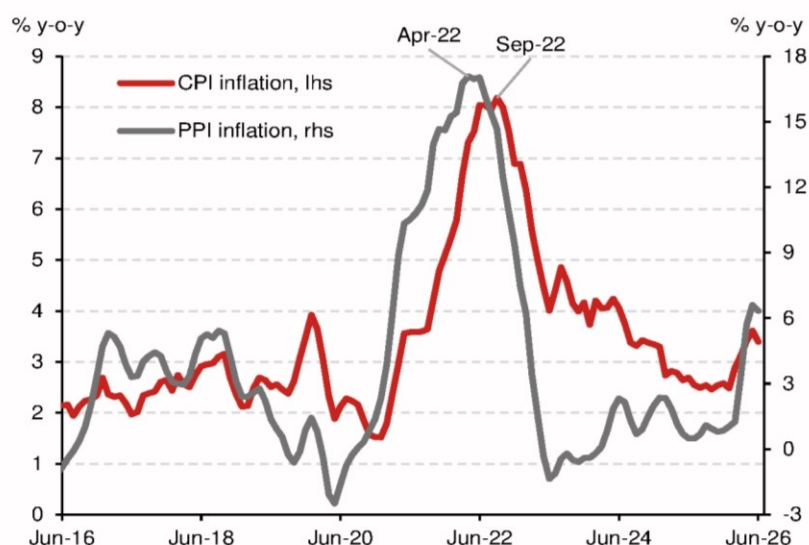
Assessing global cost pass-through from producer prices to consumer prices

With crude oil prices rising again and El Niño conditions now official (see [Special Report - Gauging who is most exposed if food prices surge](#), 15 May 2026), there is a sharp focus on the inflation outlook. For 27 major DM and EM economies, we examine the trajectories of producer price index (PPI) and CPI inflation since the outbreak of the US-Iran war. We then compare them to the PPI and CPI trajectories during the energy shock after the outbreak of the 2022 Russia-Ukraine war. Our main findings are:

- PPI-CPI pass-through appears more limited and heterogeneous in 2026 than in 2022; the relationship between cumulative PPI and CPI rises is weaker in 2026 than 2022.
- Initial conditions of healthier margins, weaker consumer demand and less fiscal and monetary support help explain the less aggressive cost pass-through this year.
- However, delayed pass-through remains a risk if the PPI shock persists, particularly in countries with a large negative CPI-PPI gap and a historically strong PPI-CPI inflation correlation.

PPI inflation measures upstream prices in the supply chain and is generally a leading indicator of CPI inflation (Figure 1). Aggregate CPI inflation for the 27 countries (using purchasing power parity (PPP) adjusted shares of world GDP, which cover about 75% of world GDP on a PPP basis) peaked around five months after PPI inflation peaked in 2022. This year, although aggregate PPI inflation moderated slightly in June (based on only partial data), it may have yet to peak, given the renewed oil price spike and El Niño conditions. Assuming the same five-month lag means CPI inflation is unlikely to peak until late this year at the earliest.

Fig. 1: Global: CPI inflation versus PPI inflation



Note: Aggregates are calculated for 27 countries shown in Figure 4 using purchasing power parity (PPP) adjusted shares of world GDP. For April-June 2026, not all countries have released the data, so the aggregates are calculated for those countries that have released the data.

Source: IMF, CEIC and Nomura Global Economics.

Margin squeezes and the risks of cost pass-through

This year, PPI inflation is running well ahead of CPI inflation across most countries. The gap between CPI and PPI inflation can be considered a profit margin proxy. On an aggregated 27-country basis, it turned negative in March after three years of positive

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readings and worsened further in April-May (Figure 2). This suggests firm margins are increasingly being squeezed, so firms may eventually be forced to pass on the higher costs to consumers. Timelier purchasing manager survey data, notably the manufacturing PMI output prices index minus the input prices index, paint a similar picture. The latest readings from June, however, suggest a narrowing of the spread between output prices and input prices (Figure 3), though this may reverse again following the renewed rise in energy prices.

A key difference between 2026 and 2022 is that, even before the Russia-Ukraine conflict in 2022, both proxies were already pointing to significant margin squeezes, but that is not the case this time. This suggests firms faced the energy price shock this year from a healthier initial profit margin position, so they had a greater buffer to absorb the extra costs and thus there was less of a need to immediately and aggressively pass-on the costs. This stands in contrast to 2022, when the energy price shock immediately triggered a strong repricing cycle, as is evident in the sharp rebounds in margins.

Fig. 2: Global: CPI minus PPI inflation



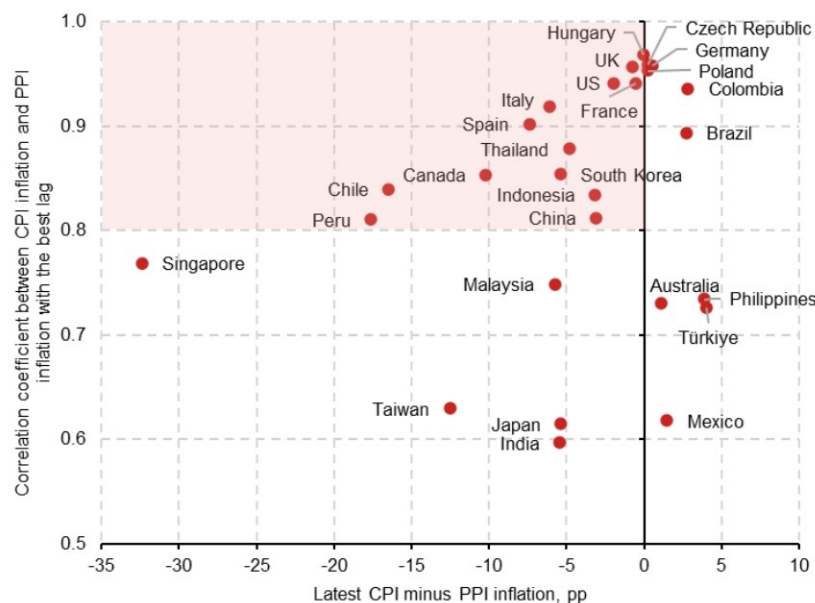
Note: Aggregate is calculated for 27 countries shown in Figure 4 using purchasing power parity (PPP) adjusted shares of world GDP. For April-June 2026, not all countries have released the data, so the aggregate is calculated for those countries that have released the data.
Source: IMF, CEIC and Nomura Global Economics.

Fig. 3: Global: Output prices index minus input prices index



Note: Aggregate is calculated for 23 countries (27 countries shown in Figure 4 excluding Chile, Hungary, Peru and Singapore due to data unavailability) using purchasing power parity (PPP) adjusted shares of world GDP.
Source: IMF, S&P Global and Nomura Global Economics.

To explore which of the 27 countries face a higher risk of cost pass-through from PPI to CPI inflation, we conduct a simple lead-lag correlation analysis for each country over a rolling five-year window. We lag PPI inflation by zero to fifteen months (or the equivalent in quarters) and identify how many months of lag maximizes the correlation between CPI and PPI inflation for each country. In Figure 4, we plot those correlation coefficients against the latest gap between CPI and PPI inflation. The results show the large number of countries in the shaded area (13) appear exposed to potential cost pass-through from producers to consumers.

Fig. 4: Correlation coefficients versus CPI minus PPI inflation

Note: Latest CPI minus PPI inflation refers to June 2026 for most countries, except for Brazil, Canada, Chile, France, Hungary, Italy, Malaysia, Philippines, Poland, Singapore and Spain, which is May 2026; for Peru, which is April 2026, and for Australia, which is Q1 2026. Correlation coefficients are calculated over a rolling five-year window ending at May 2026 for most countries, except for Peru, which ends at April 2026 and for Australia, which ends at Q1 2026.

Source: CEIC and Nomura Global Economics.

Now versus 2022

To dig deeper and compare the country-level impact of the energy price shocks in 2022 and 2026 on PPI and CPI inflation, we calculate the cumulative percentage changes in each country's PPI and CPI each month from the start of the two shocks. Both the Russia-Ukraine war in 2022 and US-Iran conflict in 2026 started in February, so we calculate the cumulative percentage changes from the average of January-February 2022 and 2026, respectively (January-February average is used to remove any distortions in Asian data from the moving Chinese New Year holidays).

Looking back at 2022, the cumulative change in PPI peaked within 10 months from the start of the war for many countries, while the cumulative change in CPI remained on an uptrend (see Picture books 1, 2 and 3 in Appendix). This highlights at a more granular level how the impact on PPI inflation is large and more immediate, while the effect on CPI inflation is more delayed and persistent. If the current shock follows a similar pattern, and particularly if PPI starts to rise sharply again in coming months now that energy prices are rebounding, CPI inflation may continue to rise, possibly into next year for many countries.

In Figure 5, we summarize the cumulative percentage change in CPI and PPI from January-February to June 2022 and the CPI-PPI inflation gap in June 2022. We rank the CPI-PPI inflation gap from the most negative to the most positive. We also conduct the same exercise for 2026. For our main observations in 2026, we see:

Smaller margin squeeze: Unsurprisingly, for the majority of countries, the gap between CPI and PPI inflation this year is much smaller than in 2022, particularly in European countries, notably Türkiye, possibly pointing to lower relative margin pressure. Nevertheless, some countries – Singapore, Peru, Chile, Taiwan and Canada – are experiencing more significant pressure margin squeezes this time.

Fig. 5: CPI and PPI, 2022 versus 2026

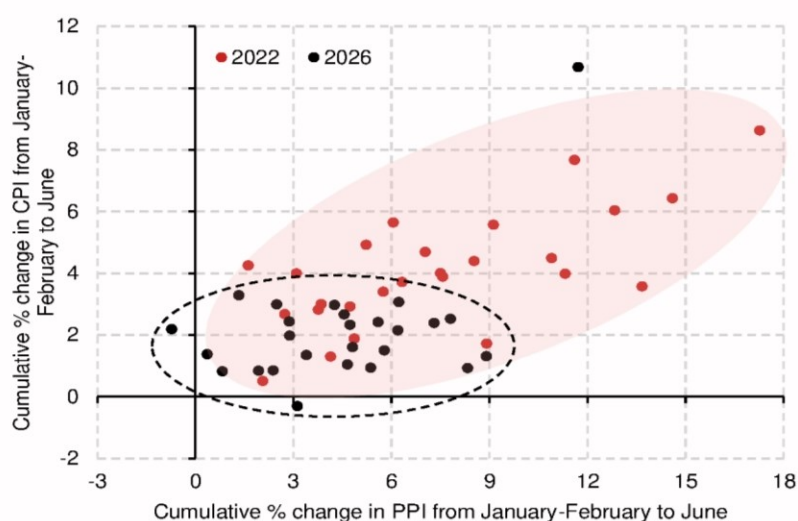
2022				2026			
	Cumulative % change in CPI	Cumulative % change in PPI	CPI minus PPI inflation, pp		Cumulative % change in CPI	Cumulative % change in PPI	CPI minus PPI inflation, pp
	Jan-Feb to Jun	Jan-Feb to Jun	Jun-22		Jan-Feb to Jun	Jan-Feb to Jun	Jun-26
Türkiye	25.1	41.3	-59.7	Singapore	1.2	25.0	-32.4
Italy	3.4	5.8	-39.1	Peru	3.0	4.3	-17.7
Hungary	6.4	14.6	-34.2	Chile	2.4	5.6	-16.5
Spain	6.0	12.8	-33.9	Taiwan	1.3	8.9	-12.5
Germany	4.0	11.3	-24.9	Canada	2.1	6.2	-10.2
France	3.7	6.3	-22.3	Spain	2.5	7.8	-7.4
Colombia	4.5	10.9	-22.0	Italy	2.3	4.7	-6.1
Singapore	3.6	13.7	-21.2	Malaysia	0.9	8.3	-5.8
Poland	8.6	17.3	-19.0	India	2.4	7.3	-5.5
Czech Republic	7.7	11.6	-11.9	Japan	0.9	5.4	-5.4
Taiwan	1.7	8.9	-10.0	South Korea	1.5	5.8	-5.4
Chile	5.6	6.1	-9.8	Thailand	3.1	6.2	-4.8
India	4.0	7.5	-9.3	Indonesia	1.6	4.8	-3.2
UK	5.6	9.1	-8.1	China	-0.3	3.1	-3.1
Malaysia	1.9	4.9	-7.5	US	2.4	2.9	-2.0
Japan	1.3	4.1	-7.5	UK	2.0	2.9	-0.8
Brazil	4.4	8.5	-6.9	France	2.2	-0.7	-0.6
Canada	4.7	7.0	-6.3	Hungary	0.8	1.9	-0.1
Thailand	3.9	7.6	-6.2	Poland	1.0	4.7	0.2
South Korea	2.9	4.7	-3.9	Czech Republic	0.8	2.4	0.3
China	0.5	2.1	-3.6	Germany	1.3	3.4	0.5
US	4.9	5.2	-2.2	Australia	1.4	0.4	1.1
Philippines	2.8	3.8	-1.7	Mexico	0.8	0.8	1.5
Mexico	3.0	3.8	-0.9	Brazil	2.7	4.6	2.7
Indonesia	2.7	2.7	-0.6	Colombia	3.0	2.5	2.8
Australia	4.0	3.1	0.6	Philippines	3.3	1.3	3.9
Peru	4.2	1.6	3.1	Türkiye	10.7	11.7	4.0

Note: Color coding is applied across each column. Cumulative % change in PPI from January-February to May in 2026 and CPI minus PPI inflation in May 2026 are shown instead for Brazil, Canada, Chile, France, Hungary, Italy, Malaysia, Philippines, Poland, Singapore and Spain; and cumulative % change in PPI from January-February to April in 2026 and CPI minus PPI inflation in April 2026 for Peru. For Australia, cumulative % changes in CPI and PPI are calculated from Q4 2021 to Q1 2022 and from Q4 2025 to Q1 2026 instead, and CPI minus PPI inflation in 2026 is as of Q1. Wholesale price index is used instead of PPI for India and Indonesia. We use final demand PPI for the US, industrial product price index for Canada, domestic supply price index for Singapore, output PPI for UK, and domestic PPI for EU countries and Türkiye.

Source: CEIC and Nomura Global Economics.

More limited transmission: The extent of pass-through from producer prices to consumer prices appears more limited and heterogeneous so far this year than in 2022. The sharp increases in producer prices following the US-Iran war, especially in Asian countries, have not yet translated to broad-based hikes in consumer prices across countries, unlike in 2022, when the relationship between higher PPI and higher CPI was much clearer at the country level (Figure 6). To be fair, the stronger relationship in 2022 reflects the lagged cost pass-through impact of the pandemic before the Russia-Ukraine war, which caused massive global supply chain disruptions.

Fig. 6: Cumulative % change in CPI versus PPI from January-February to June 2022 and 2026



Note: Of the 27 countries, we have excluded two extreme values (one black dot and one red dot). For other details, please see the notes to Figure 5.

Source: CEIC and Nomura Global Economics.

But will those increases in producer prices eventually be passed on to consumer prices, and could the limited transmission so far actually signal greater scope for future pass-through now? One camp can argue that firms may have developed stronger muscle memory from the last inflation surge in 2021-22 to swiftly pass on higher costs this time, especially after the failed US-Iran peace truce and as energy prices are now rebounding. Nevertheless, we would argue that the backdrop of this oil price shock is different to the 2022 one, in that: 1) there is no pent-up demand; 2) fiscal space is more limited; and 3) monetary policy stances are nowhere near as loose.

In Figure 7, we compare real private consumption growth, gross public debt and policy rates in 2022 to those in 2026, and highlight in red the year when real private consumption growth is higher, and gross public debt and the policy rate are lower. We rank each country by the gap between 2022 and 2026 for each indicator. For real private consumption, comparing year-on-year growth in 2022 to 2026 may be tricky, given the base effects from pandemic lockdowns and reopening; thus, we compare the sequential growth instead in the table, but we present a time series chart of year-on-year real private consumption growth for each country in 2022 versus 2026 in Picture books 4, 5 and 6 in Appendix. Most countries experienced slower real private consumption growth in Q1 2026 than in Q1 2022, and face higher public debt and a higher policy rate. This is consistent with our hypothesis that tighter monetary policy and less fiscal space mean a less demand-supportive environment, whereby firms may have less pricing power this time around to pass on the cost increases to consumers, and thus they may be forced to compress their margins further. That said, with oil prices rebounding sharply, and if the energy price shock persists, it may be increasingly difficult for firms to continue absorbing these cost increases via margin squeezes.

The upshot is that, if the re-escalation of the US-Iran conflict continues and if the severity of El Niño deepens, leading to further increases in energy and food costs, the outcome could be more stagflationary (higher inflation but weaker growth via profit margin compression) than in 2022, leaving a tougher trade-off for central banks.

Fig. 7: Real private consumption, gross public debt and policy rate, 2022 versus 2026

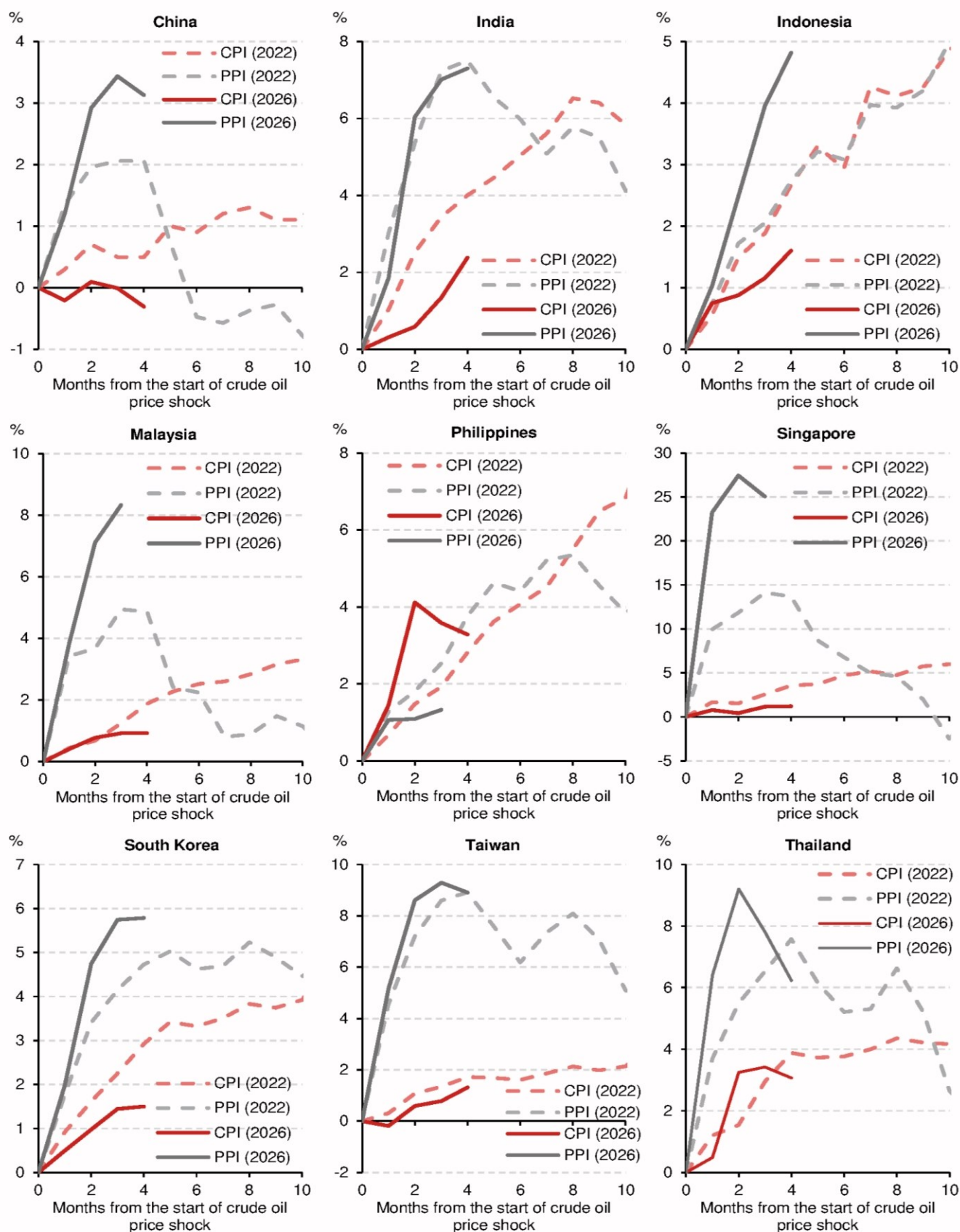
	Real private consumption (% q-o-q sa)			General government gross debt (% of GDP)			Policy rate (%)	
	Q1 2022	Q1 2026		2022	2026		End July 2022	Latest
Singapore	3.5	0.2	China	77.3	106.9	Türkiye	14.00	37.00
Malaysia	3.6	0.6	Singapore	153.3	171.9	Colombia	9.00	12.00
Germany	2.7	0.0	Poland	48.8	65.7	Australia	1.35	4.35
Mexico	1.5	-0.8	Brazil	83.9	96.5	UK	1.25	3.75
Peru	2.9	0.8	Mexico	53.8	62.7	Indonesia	3.50	5.75
Australia	2.4	0.5	Canada	103.5	110.7	France	0.00	2.25
Poland	2.2	0.2	France	111.4	118.4	Germany	0.00	2.25
Türkiye	1.7	0.1	US	119.1	125.8	Italy	0.00	2.25
Thailand	2.0	0.4	Thailand	60.5	66.8	Spain	0.00	2.25
Philippines	2.2	0.7	UK	97.5	103.6	Philippines	3.25	4.75
UK	1.4	0.6	South Korea	49.8	54.4	US	2.50	3.75
Canada	0.8	0.4	Chile	37.9	42.5	Japan	-0.10	1.00
Hungary	2.1	1.7	Malaysia	65.5	69.5	Brazil	13.25	14.25
Spain	1.0	0.6	Czech Republic	42.5	46.4	South Korea	2.25	2.75
Italy	0.7	0.5	Hungary	74.1	77.9	Malaysia	2.25	2.75
Indonesia	1.6	1.5	Philippines	57.4	60.2	Taiwan	1.50	2.00
Brazil	1.0	1.0	Indonesia	40.1	41.5	Thailand	0.50	1.00
US	0.1	0.1	Australia	50.0	50.6	India	4.90	5.25
India	1.1	1.4	Germany	64.4	64.6	Canada	2.50	2.25
Czech Republic	0.0	0.5	Italy	138.4	138.4	China	2.10	1.40
France	-0.7	-0.2	Colombia	61.3	60.9	Mexico	7.75	6.50
Colombia	1.2	1.9	India	84.6	83.4	Peru	6.00	4.25
Japan	-0.9	0.3	Taiwan	29.5	27.6	Poland	6.50	3.75
Chile	-0.5	1.0	Peru	33.5	30.0	Czech Republic	7.00	3.75
South Korea	-1.0	0.6	Türkiye	29.4	25.5	Hungary	10.75	5.75
Taiwan	-1.3	1.5	Spain	109.2	98.2	Chile	9.75	4.50
China	-	-	Japan	227.8	204.4	Singapore	-	-

Note: We seasonally adjusted real private consumption data using X-12 ARIMA where official series are unavailable. For EU countries, real private consumption (including households and non-profit institutions serving households), seasonally and working days adjusted data published by Eurostat are used. China's quarterly real private consumption data are unavailable. Data on general government gross debt are from the IMF World Economic Outlook database (April 2026 edition). Policy rate refers to the upper bound of the fed funds rate target range for the US; the deposit facility rate for France, Germany, Italy and Spain; and the 7d reverse repo rate for China. Singapore's monetary policy focuses on the nominal effective exchange rate instead of the policy interest rate.

Source: IMF, Bloomberg, Eurostat, CEIC and Nomura Global Economics.

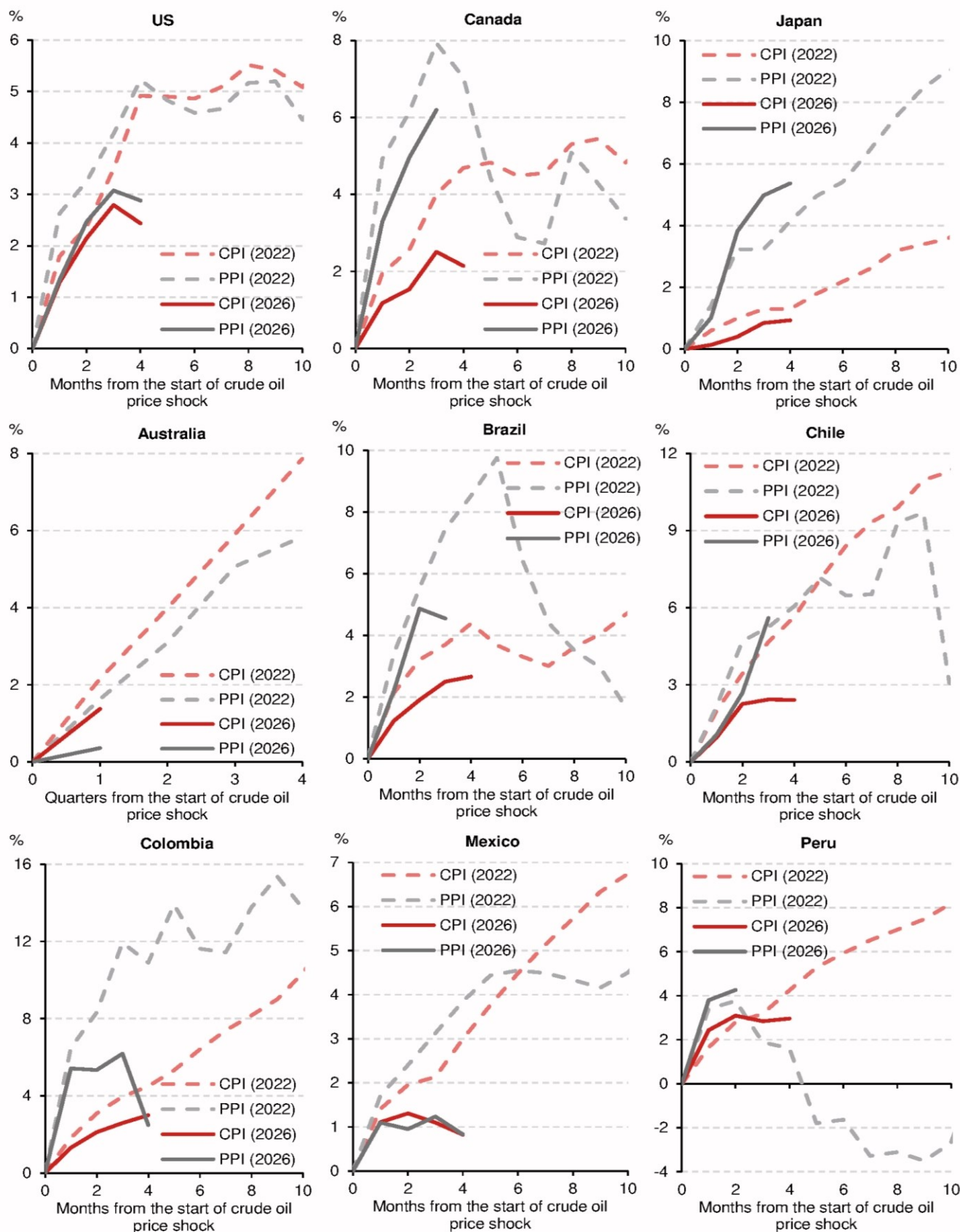
Appendix

Fig. 8: Picture book 1: Cumulative % change in CPI and PPI after crude oil price shocks



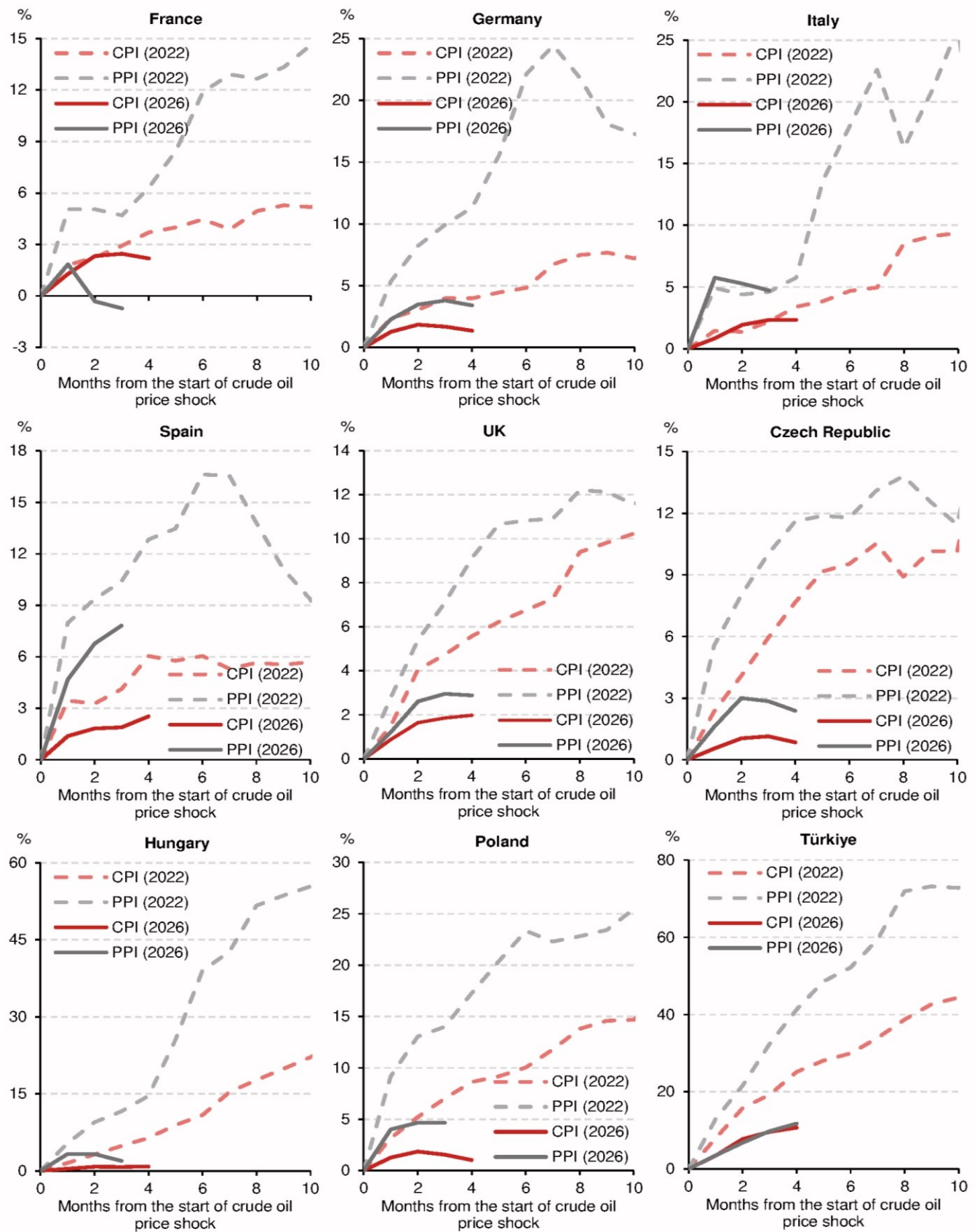
Note: Cumulative % change is calculated from the average of January-February (t=0) in 2022 and 2026 respectively. For details on PPI, please see the notes to Figure 5.
Source: CEIC and Nomura Global Economics.

Fig. 9: Picture book 2: Cumulative % change in CPI and PPI after crude oil price shocks



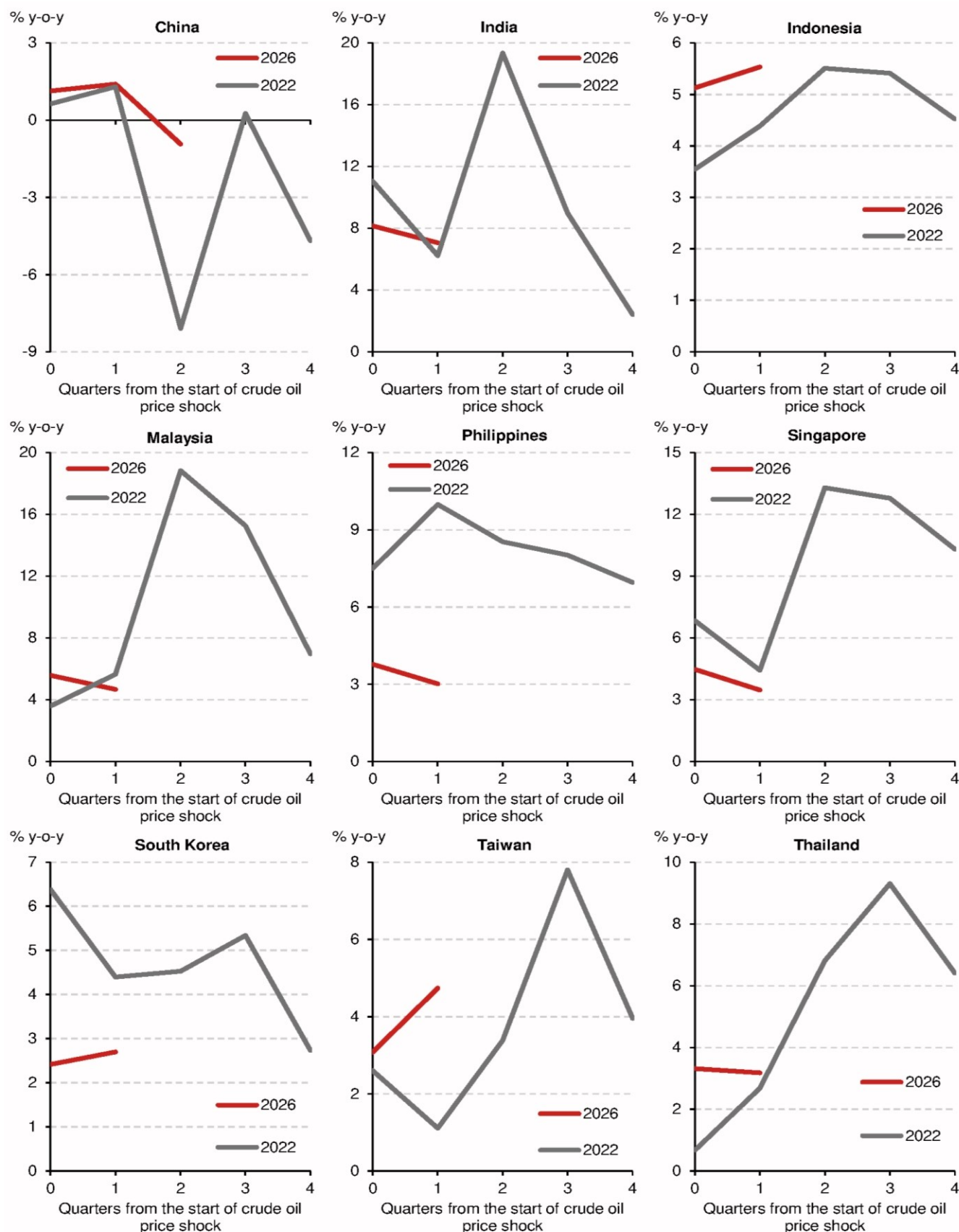
Note: Cumulative % change is calculated from the average of January-February ($t=0$) in 2022 and 2026 respectively, except for Australia, which is from Q4 2021 ($t=0$) for 2022 episode and from Q4 2025 for 2026 episode. For details on PPI, please see the notes to Figure 5.
Source: CEIC and Nomura Global Economics.

Fig. 10: Picture book 3: Cumulative % change in CPI and PPI after crude oil price shocks



Note: Cumulative % change is calculated from the average of January-February (t=0) in 2022 and 2026 respectively. For details on PPI, please see the notes to Figure 5.
Source: CEIC and Nomura Global Economics.

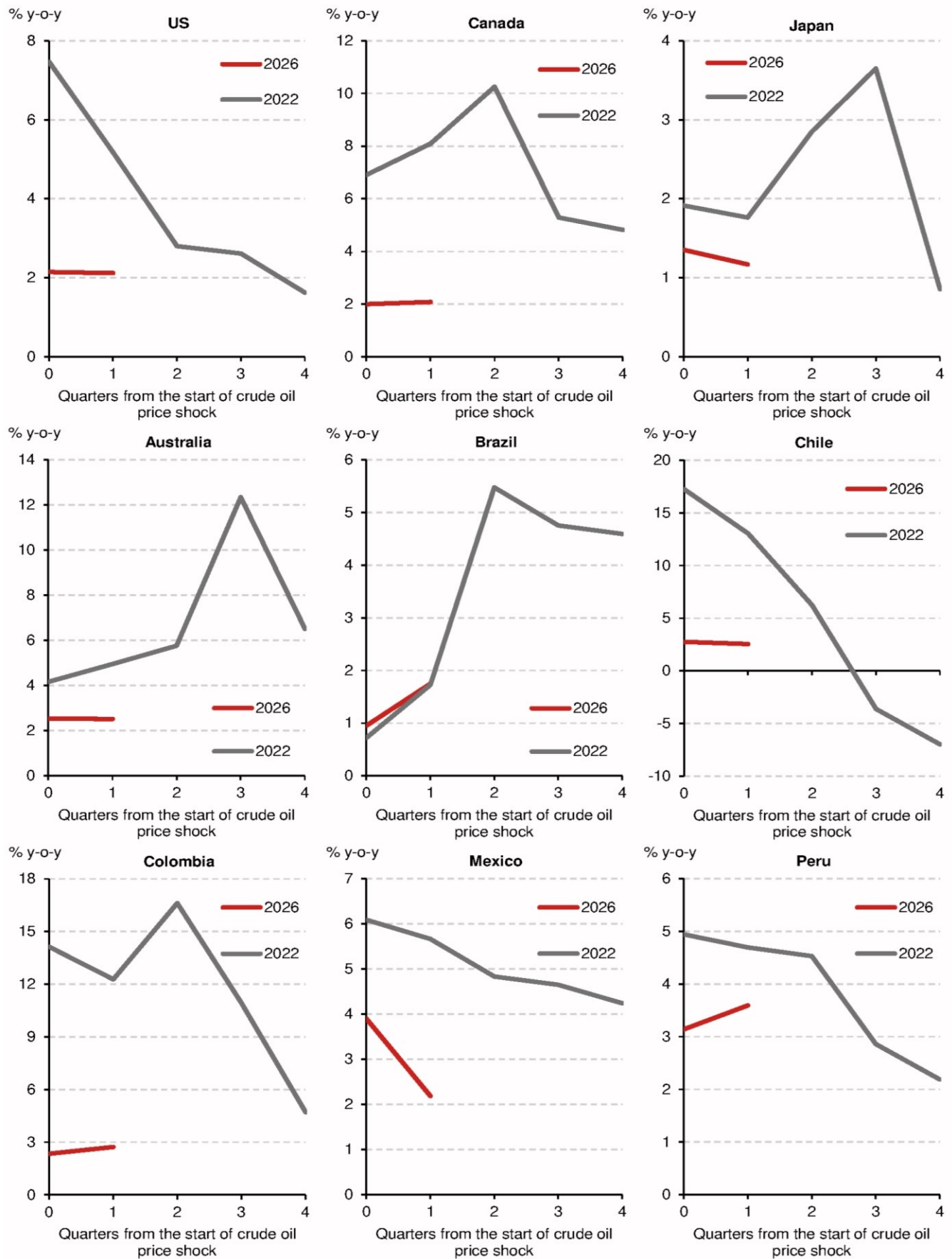
Fig. 11: Picture book 4: Real private consumption growth, 2022 versus 2026



Note: Real retail sales growth is shown instead for China. t=0 refers to Q4 2021 for 2022 episode and Q4 2025 for 2026 episode.

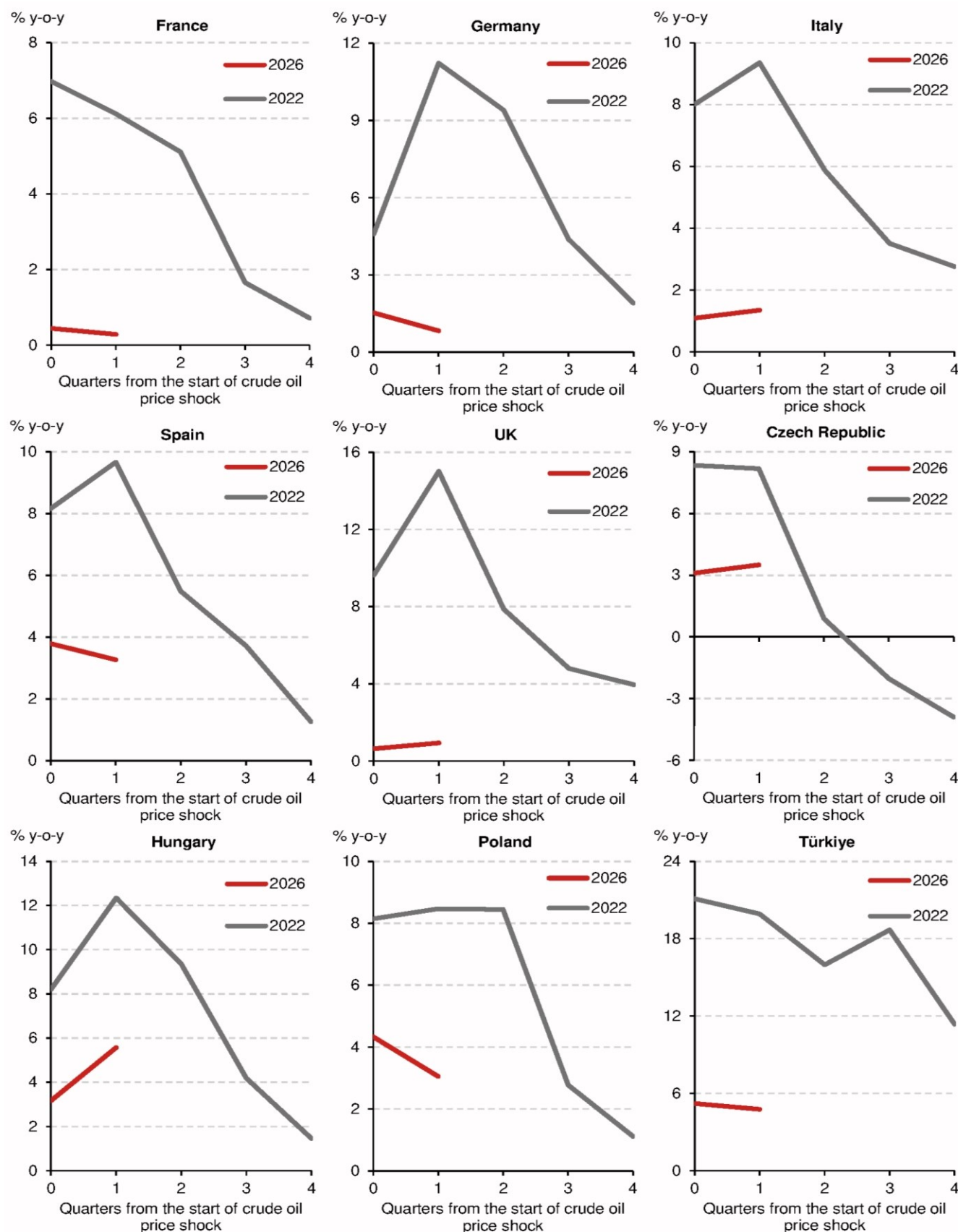
Source: CEIC, Wind and Nomura Global Economics.

Fig. 12: Picture book 5: Real private consumption growth, 2022 versus 2026



Note: t=0 refers to Q4 2021 for 2022 episode and Q4 2025 for 2026 episode.
Source: CEIC and Nomura Global Economics.

Fig. 13: Picture book 6: Real private consumption growth, 2022 versus 2026



Note: t=0 refers to Q4 2021 for 2022 episode and Q4 2025 for 2026 episode.
Source: CEIC and Nomura Global Economics.

Appendix A-1

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